

While education is considered a basic need and a springboard for success, there are only 9.5 million teachers in India at present, for more than 260 million students enrolled in schools, according to a report by edtech platform Ezyschooling.

While K-12 education still has a lot of support from the state and central governments, along with private schools, students preparing for competitive exams—whose numbers run into millions—have to rely largely on unaffiliated coaching centres running across the country. And this phenomena is what makes the segment so lucrative for edtech players, and in turn, for popular teachers. “The demand for material and content is the most for JEE Mains, NEET and UPSC, in that order,” the founder of an edtech unicorn company, requesting anonymity, tells *BT*.

Each year, approximately 11 million candidates take the JEE Mains exam, and 10 million appear for the UPSC exam. This shows, the founder adds, that aspirational parents place greater value in seeing their children get into top engineering schools over cracking the civil services exams.

Since the need for education is so great and the infrastructure for it is inconsistent, edtechs have a lot of room to grow and they have found a way to capitalise on this trend. A report by the India Brand Equity Foundation (IBEF, a trust set up by the government to spread awareness about Indian products and services) estimates that by 2025, the country’s edtech market will have grown from its 2020 valuation of \$750 million to \$4 billion, with a CAGR of 39.77 per cent.

The Breeding Ground

India is a hotbed for edtech companies, with big players like BYJU’S, Physics Wallah, Vedantu and Unacademy making waves in the industry. These companies have deep pockets, thanks to global investors like SoftBank, Tiger Global and Lightspeed Venture, to name a few. Edtechs have managed to rake in millions of dollars in funding rounds and many have even achieved unicorn status (a valuation of \$1 billion or more). Bengaluru-based BYJU’S is the world’s most-valued edtech company (\$22 billion as of May 2023), per data from Hurun India.

However, before the pandemic “edtech was a small ecosystem” in India. “Covid-19 accelerated the Indian edtech sector,” says Vidur Gupta, Co-founder of staffing firm Spectrum Talent Management.

During the pandemic, online communications became the lifeline that kept the world ticking while everything else was failing. Result: the edtech sector boomed.



A New Chapter

- 1 • Covid-19 turbocharged the edtech industry but when the pandemic began to fade, edtech firms started developing hybrid models—of online and offline teaching—to sustain growth. This has created a war among edtechs to provide the best teachers and services
- 2 • Edtech firms started offering handsome salaries to poach teachers from rival firms—that would also attract their students to their platform. They even offered ESOPs and other perks to attract the best teaching talent
- 3 • The recent months have also revealed the pressures of a decline in funding within the edtech industry, with teachers saying that the pressure to sell courses and generate revenues for the company has increased
- 4 • The investor community believes that edtech players should innovate. They must leverage tools like AI and ChatGPT to bring new systems and models within the ecosystem